

Maximize every dollar

Every time you spend money, you make a decision. You decide that whatever you're giving that dollar for is worth it, and thus you make the exchange. The real key to spending less is to raise that definition of what a dollar is worth. You know those times when you buy something, but you realize you don't really need it and you're also not convinced that it's a very good deal? Make the choice to not buy it, or buy a cheap version and see how much you actually use it. Don't be afraid to shop around a bit.

Food is a great example of this. Quite often, people will eat out at places like Applebee's and drop \$20 or \$30 on a meal that they could have made at home for \$3. "But it saves time and is convenient," you say? Just for fun, try making an equivalent meal at home sometime. You might be surprised to find out how easy it is and how much you'll save.

Habits of all kinds are dangerous!

Most people have some sort of routine in their day where they buy a morning latte or a bagel, or they drink six cans of soda, or they eat out at the same place each day for lunch. What these routines add up to is a lot of money. Spending \$5 every day in a workweek adds up to \$1,300 over a year—that's

a mortgage payment for a lot of people. Spend some time looking at the stuff you do every day, especially the ones that require you to spend money, and ask yourself if they're really necessary or could be replaced.

The 10-second rule

Every time you go to make any purchase, even when you pay a bill, stop for 10 seconds and ask yourself if this is really something you want to spend your money on. Do you really need this item? Could you reduce that electricity bill by putting in a lot of compact fluorescent lightbulbs? This one simple technique will often point you in the direction of spending less money.

